23STCV04164 23STCV04164

County: los-angeles

Division: Civil Law and Motion

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Case Number: 23STCV04164 Hearing Date: August 18, 2026 Dept: 617

Dept.

617

Date:

8-18-26

Case

#: 23STCV04164

Trial

Date: 1-25-27

SANCTIONS

MOVING

PARTY: Plaintiff, The Balshem/Erikson Family Trust

RESPONDING

PARTY: Defendant, Geragos & Geragos, APC

RELIEF

REQUESTED

Motion

for Terminating Sanctions or Alternatively Issue Sanctions and Evidentiary

Sanctions, and for Monetary Sanctions

SUMMARY

OF ACTION

Plaintiff David Erikson accepted an “offer to act as ‘Of Counsel’” for the law firm Geragos & Geragos. In addition to handling the equivalent of an “entire intellectual property department” and handling “two raging litigation matters,” Plaintiff also contributed more than 2,000 hours of work in other “important and lucrative civil matters” for the firm. While the parties engaged in some form of moderately specified compensation agreement, Plaintiff maintains Defendants in fact “stiffed” Plaintiff on some or all promised compensation, notwithstanding the tremendous wealth of Mark Geragos.

On February 24, 2023, Plaintiff filed a complaint for Quantum Meruit, Breach of Contract, Open Book Account, Account Stated, Promissory Fraud, and Unjust Enrichment. On March 14, 2024, a notice of death and request for stay was filed with the Court stating Plaintiff Erikson passed away on February 19, 2024.

On May 8, 2024, the Court sustained the demurrer to the complaint with 150 days leave to amend. On October 2, 2024, The Balshem/Erikson Family Trust filed a First Amended Complaint for Quantum Meruit, Breach of Contract, Open Book Account, Account Stated, Promissory Fraud, and Unjust Enrichment.

RULING: Granted in part.

Plaintiff moves for terminating sanctions, or alternatively issue and evidentiary sanctions, along with monetary sanctions, against Defendant Geragos & Geragos and its counsel of record. The basis for the motion is Defendant’s violation of the Court’s April 23, 2026 order requiring it to produce further discovery responses and to pay $250 in sanctions for its prior violation of a January 15, 2026 discovery order. Defendant opposes the motion, arguing that sanctions are unwarranted because of its efforts in trying to procure a protective order regarding Plaintiff’s possession of 32,000 pages of privileged nonparty client information. Defendant further contends that the requested sanctions amount is unsupported and cannot be imposed jointly and severally against its counsel. Plaintiff’s motion is granted in part and monetary sanctions are imposed against Defendant and its counsel of record, jointly and severally, in the amount of $6,300.

"Discovery sanctions 'should be appropriate to the dereliction, and should not exceed that which is required to protect the interests of the party entitled to but denied discovery.'" (Young v. Rosenthal (1989) 212 Cal.App.3d 96, 118-19, citing Deyo v. Kilbourne (1978) 84 Cal.App.3d 771, 793; Newland v. Superior Court (1995) 40 Cal.App.4th 608, 613.) A prerequisite to the imposition of the dismissal sanction is that the party has willfully failed to comply with a court order. (Mileikowsky v. Tenet Healthsystem (2005) 128 Cal.App.4th 262, 279-80; Laguna Auto Body v. Farmers Ins. Exchange (1991) 231 Cal.App.3d 481, 487, overruled on other grounds in Garcia v. McCutchen (1997) 16 Cal.4th 469, 478, fn. 4.); Young, supra, 212 Cal.App.3d at p. 114.) Preventing parties from presenting their cases on the merits is a drastic measure; terminating sanctions should only be ordered when there has been previous noncompliance with a rule or order and it appears a less severe sanction would not be effective. (Link v. Cater (1998) 60 Cal.App.4th 1315, 1326; Dept. of Forestry & Fire Protection v. Howell¿(2017) 18 Cal.App.5th 154, 191 ["Terminating sanctions are to be used sparingly because of the drastic effect of their application"].)

"The discovery statutes thus 'evince an incremental approach to discovery sanctions, starting with monetary sanctions and ending with the ultimate sanction of termination.' (Citation.) Although in extreme cases a court has the authority to order a terminating sanction as a first measure (Citations), a terminating sanction should generally not be imposed until the court has attempted less severe alternatives and found them to be unsuccessful and/or the record clearly shows lesser sanctions would be ineffective." (Lopez v. Watchtower Bible & Tract Society of New York, Inc. (2016) 246 Cal.App.4th 566, 604.) To avoid sanctions, the burden of proving that a discovery violation was not willful is on the party on whom the discovery was served. (Cornwall v. Santa Monica Dairy Co. (1977) 66 Cal.App.3d 250, 252-53.)

Defendant has violated the Court's April 23 order. That order required Defendant to provide further responses to Plaintiff's discovery requests concerning transactional information related to Erikson's compensation and billing. Defendant failed to do so, providing only 4 pages of intake forms with no privilege log, responses to requests for admission consisting of previously overruled objections, improper combined responses to form interrogatories, and non-responsive answers to special interrogatories. [Shein Decl. ¶¶ 25-26, Exs. P-S.] The violation provides the basis for an order imposing sanctions against Defendant. While the Court follows the escalation ladder for discovery sanctions, it does not necessarily follow that a harsher sanction beyond a monetary sanction is warranted here. Instead, the Court elects to increase sanctions under the monetary sanctions rung in light of the previously articulated understanding that Defendant's "clawback" argument "seeks to take documents from Plaintiff while the Court's discovery order compelled Defendant to provide information and documents in its possession." [Id. ¶ 20, Ex. N, p. 3.]

This
understanding informs why Defendant's failure to provide sufficient responses was not justified. Plaintiff's purported possession of privileged nonparty client information is irrelevant to Defendant's production obligation; Defendant must provide responses and corresponding documents within its possession. Any attendant delay in serving the responses due to the attempted procurement of a protective order concerning documents in Plaintiff's possession is thus immaterial. The Court therefore imposes sanctions against Defendant and its counsel of record, jointly and severally, in the amount of $6,300, reflecting 10 hours of attorney David Shein's work on the instant motion at an hourly rate of $550 plus 2 hours of attorney Nelson A. Campbell's work at an hourly rate of $400. [Shein Decl. ¶ 29; Campbell Decl. ¶¶ 2-3.] The Court finds the sanctions adequate to compensate Plaintiff for the costs and fees incurred in enforcing the Court's order. Contrary to Defendant's claim, imposing sanctions against its counsel of record does not constitute "a sanction imposed twice against the same entity for the same conduct." Defendant is distinct from the lawyers that represent it and this is true even if those same lawyers are its employees.

Plaintiff's
motion is thus granted in part. The sanctions are payable to Plaintiff within 30 days.

The
Court notes that both parties represent that further supplemental responses were served on August 10, 2026. The Court orders the parties to meet and confer within 10 days to address any deficiencies in these responses to prevent unnecessary motion practice.

Plaintiff

to give notice.